

Commercial Due Diligence: When the commercial reality changed the deal

CLIENT A public company evaluating a strategic acquisition	ENGAGEMENT Commercial due diligence, pre-signing
KEY FINDING Bottom-up outlook came in ~55% below management's growth plan	OUTCOME Acquirer revisited valuation and strategic rationale, and walked away

The Diligence Challenge

The acquirer needed to verify the commercial assumptions behind the deal thesis.

How durable was the existing revenue base?

What were the key commercial risks and dependencies?

Was the growth plan commercially achievable?

Were the expected commercial synergies real and achievable?

The acquirer had M&A experience and advisers, but the deal required more dedicated senior commercial attention than the internal team could give it, and answers were needed within a few weeks.

They brought in Beigale for experienced commercial judgment: to sharpen the investment thesis, get beneath the management plan, and identify commercial value and risks that could affect both valuation and post-close execution.

What We Found

~55%

BELOW MANAGEMENT'S
PLAN

The growth plan looked credible, until we rebuilt it bottom-up.

Growth was real, but too much depended on unproven assumptions.

A key asset sat outside the obvious deal metrics

We identified a major source of strategic value: a proven sales engine into a hard-to-access institutional channel.

Some of the value would be difficult to preserve after close.

We identified who and what had to survive post-close, and where management dependencies could put deal value at risk.

Impact

The commercial diligence materially changed the buyer's view of the deal thesis.

It changed the view of growth, strategic value, and valuation, and ultimately led the acquirer not to proceed.

How We Did It

The two Beigale partners led the work directly throughout.

- Sharpened the investment thesis with the acquirer
- Worked directly with management and gained deeper access to the data and assumptions
- Ran an intensive 3-day face-to-face session
- Rebuilt the outlook bottom-up and pressure-tested synergies and post-close risks

Within a few weeks, the acquirer had an independent commercial view developed directly by senior operators.

What This Case Shows

Commercial assumptions can make or break a deal, but they often get less scrutiny than the financial and legal work. Good CDD requires experienced operators who know what to question and how to test it.